

**Federal and Provincial or Territorial Foreign Income Tax Credits
and Federal Logging Tax Credit
(2023 and later tax years)**

Corporation's name	Business number	Tax year-end Year Month Day
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- Corporations resident in Canada at any time in the year and authorized foreign banks can use this schedule to claim a federal foreign non-business income tax credit, a federal foreign business income tax credit, or a provincial or territorial foreign non-business income tax credit.
- Corporations can use this schedule to claim a federal logging tax credit.
- Calculate the foreign income tax credits for **each** country separately. Attach another schedule if the corporation is claiming credits for more than five countries.
- Calculate the provincial or territorial foreign non-business income tax credits for **each** country and province or territory separately.
- Unless otherwise noted, all legislative references are to the Income Tax Act.
- For more information on foreign tax credits, see Income Tax Folio S5-F2-C1, Foreign Tax Credit.

Part 1 – Federal foreign non-business income tax credit

1A Country of source of foreign non-business income	1B Net foreign non-business income earned in the year ¹	1C Foreign non-business income tax paid for the year ²	1D Foreign non-business income tax paid, deducted from income under subsection 20(12)	1E Column 1C minus column 1D
100	110	120	130	

1F Adjusted net income (amount from line 600 in Part 6)	1G Part I tax otherwise payable (amount from line 610 in Part 7)	1H The result of column 1B multiplied by 1G, divided by column 1F (cannot be more than column 1G)	1I Deductible credit (column 1E or 1H, whichever is less) 180

Total deductible federal foreign non-business income tax credit (total of column 1I)

Enter the total deductible federal foreign non-business income tax credit, or a lesser amount, on line 632 of the T2 return.

¹ Net foreign non-business income is the excess of qualifying income over qualifying losses, as determined according to subsection 126(9).

Do not include:

- income that is exempt from tax in Canada under an income tax treaty
- dividends received from foreign affiliates
- tax-exempt income as defined in subsection 126(7)

² Do not include:

- tax paid to a foreign government on income that is exempt from tax in Canada under an income tax treaty
- foreign tax paid on dividends received from foreign affiliates
- foreign tax that may reasonably be regarded as relating to an amount that any other person or partnership has received, or is entitled to receive, from that government
- tax paid for property (other than capital property) from which the corporation is not expected to realize a profit
- tax paid that is in excess of the limit and paid for dividends or interest on a share or debt obligation held for one year or less

Total deductible federal foreign business income tax credit (total of column 2J)

- tax paid to a foreign government on income that is exempt from tax in Canada under an income tax treaty
- foreign tax that may reasonably be regarded as relating to an amount that any other person or partnership has received, or is entitled to receive, from that government
- tax paid for property (other than capital property) from which the corporation is not expected to realize a profit
- tax paid that is in excess of the limit and paid for dividends or interest on a share or debt obligation held for one year or less

⁵ An unused federal foreign business income tax credit expires after 10 tax years.

Part 4 – Request for a federal foreign business income tax credit carryback

4T Country in which foreign business income was earned 900	4U Unused foreign business income tax credit (column 3P minus column 3Q, in Part 3)	4V Carry back to 1st previous tax year 6 901	4W Carry back to 2nd previous tax year 6 902	4X Carry back to 3rd previous tax year 6 903

⁶ Total of carryback (amounts from columns 4V, 4W, and 4X) cannot be more than the unused foreign business income tax credit (amount from column 4U).

Part 5 – Federal logging tax credit

5A Province	5B Income from logging under Regulation 700	5C Column 5B multiplied by 6 2/3%	5D Logging tax paid on income in column 5B	5E Column 5D multiplied by 2/3	5F Column 5C or 5E, whichever is less
British Columbia	500		510		
Quebec	520		530		
Total of column 5F					5G
6 2/3% of taxable income (or, for non-residents, 6 2/3% of taxable income earned in Canada)					5H
Federal logging tax credit (amount 5G or 5H, whichever is less)					580

Enter line 580 or a lesser amount on line 640 of the T2 return.

Part 6 – Adjusted net income**To be filled out by all corporations other than authorized foreign banks**

Net income for income tax purposes (line 300 of the T2 return) (if negative, enter "0") **6A**

Net capital losses claimed under paragraph 111(1)(b) (line 332 of the T2 return) **6B**

Taxable dividends deductible under sections 112 and 113 **6C**

Prospector's and grubstaker's shares (line 350 of the T2 return) **6D**

Employer deduction for non-qualified securities (line 352 of the T2 return) **6E**

Subtotal (total of amounts 6B to 6E) **6F**

Subtotal (amount 6A **minus** amount 6F) (if negative, enter "0") **6G**

Amount added to taxable income for foreign tax deductions under section 110.5 (line 355 of the T2 return) **6H**

Total (amount 6G **plus** amount 6H) **6I**

To be filled out by authorized foreign banks only (see subsection 126(1.1))

Taxable income earned in Canada (line 360 of the T2 return) (if negative, enter "0") **6J**

Income from its Canadian banking business (line 300 of the T2 return) (if negative, enter "0") **6K**

Amount added to taxable income for foreign tax deductions
under subparagraph 115(1)(a)(vii) (line 355 of the T2 return) **6L**

Subtotal (amount 6K **plus** amount 6L) **6M**

Amount 6J or amount 6M, whichever is less **6N**

Adjusted net income (amount 6I or amount 6N, whichever is applicable) **600**

Part 7 – Part I tax otherwise payable (foreign non-business income tax credit)

Base amount of Part 1 tax (line 550 of the T2 return)		7A
Federal tax abatement (line 608 of the T2 return)	7B	
Investment corporation deduction (line 620 of the T2 return)	7C	
General tax reduction (line 639 of the T2 return)	7D	
Subtotal (total of amounts 7B to 7D)	▶	7E
Additional tax on personal services business income (line 560 of the T2 return)	7F	
Additional tax on banks and life insurers (line 565 of the T2 return)	7G	
Total labour requirements addition to tax (line 580 of the T2 return)	7H	
Recapture of investment tax credit (line 602 of the T2 return)	7I	
Refundable tax on Canadian-controlled private corporation's (CCPC) or substantive CCPC's investment income (line 604 of the T2 return)	7J	
Subtotal (total of amounts 7F to 7J)	▶	7K
Part I tax otherwise payable (foreign non-business income tax credit) (amount 7A minus amount 7E plus amount 7K)	610	

Part 8 – Part I tax otherwise payable (foreign business income tax credit)

Base amount of Part 1 tax (line 550 of the T2 return)		8A
Investment corporation deduction (line 620 of the T2 return)	8B	
General tax reduction for CCPCs (line 638 of the T2 return)	8C	
General tax reduction (line 639 of the T2 return)	8D	
Subtotal (total of amounts 8B to 8D)	▶	8E
Additional tax on personal services business income (line 560 of the T2 return)	8F	
Additional tax on banks and life insurers (line 565 of the T2 return)	8G	
Total labour requirements addition to tax (line 580 of the T2 return)	8H	
Recapture of investment tax credit (line 602 of the T2 return)	8I	
Subtotal (total of amounts 8F to 8I)	▶	8J
Part I tax otherwise payable (foreign business income tax credit) (amount 8A minus amount 8E plus amount 8J)	620	

Part 9 – Provincial or territorial foreign tax credit

- Fill out a separate calculation for **each** province or territory for which you are claiming the credit.
- If you have foreign non-business income from more than one country, fill out a separate calculation for **each** country and total these calculations to determine the credit for the applicable province or territory.

Province or territory for which you are claiming this credit

Country of source of foreign non-business income

Foreign non-business income tax available for provincial or territorial foreign tax credit:

Foreign non-business income tax paid for the year (amount from column 1C in Part 1) 9A

Foreign non-business income tax paid, deducted from income under subsection 20(12) (amount from column 1D in Part 1) 9B

Subtotal (amount 9A **minus** amount 9B) 9C

Federal foreign non-business income tax credit deductible (amount from column 1I in Part 1) 9D

Foreign non-business income tax credit available (amount 9C **minus** amount 9D) 9E**Note:** If amount 9E is "0", no provincial or territorial foreign tax credit may be claimed in respect of the foreign country.

Amount 9E × $\frac{\text{Taxable income earned in the province or territory } \textcolor{blue}{7}}{\text{Taxable income } \textcolor{blue}{8}}$ = 9F

Limit on amount of foreign non-business income tax that can be claimed:

Net foreign non-business income earned in the year (amount from column 1B in Part 1) 9G

Amount 9G × $\frac{\text{Provincial or territorial tax rate } \textcolor{blue}{9}}{\text{Taxable income earned in the province or territory } \textcolor{blue}{7}}$ = 9H

Amount 9H × $\frac{\text{Taxable income earned in the province or territory } \textcolor{blue}{7}}{\text{Taxable income } \textcolor{blue}{10}}$ = 9I

Provincial or territorial foreign tax credit (amount 9F or 9I, whichever is less). 9J

Enter amount 9J on the corresponding line in Part 2 of Schedule 5, Tax Calculation Supplementary – Corporations. If you have more than one calculation of the credit for a province or territory, enter the total credits calculated on the corresponding line in Part 2 of Schedule 5.

For Ontario, if the corporation is not a life insurance corporation, also enter amount 9J on line 550 of Schedule 510, Ontario Corporate Minimum Tax.

⁷ Enter the amount allocated to the province or territory in column F from Part 1 of Schedule 5. For Nova Scotia and Newfoundland and Labrador, include their offshore areas. For Ontario, if the corporation's taxable income is nil, calculate the amount in column F as if the taxable income were \$1,000.

⁸ Do not include taxable income earned outside Canada. For Ontario, if the corporation's taxable income is nil, enter "1,000."

⁹ For all provinces and territories except Ontario, use the higher tax rate. If the rate has changed during the tax year, use the average rate based on the number of days in the tax year before and after the change. For Ontario, use the basic rate of tax calculated in Part 1 of Schedule 500, Ontario Corporation Tax Calculation.

¹⁰ Enter the amount from line 360 of the T2 Corporation Income Tax Return. For Ontario, if the corporation's taxable income is nil, enter "1,000."